

Cost Estimate Comparison

Study #47

Client:Carolyn Carpenter

Camel Filter 85

(UPCHARGE)

Preliminary Cost per thousand estimate

	1997 2000852 AS Camel F85 Control #1	1997 2000852 AT Camel F85 Impr 8/11/97 #2	1997 VARIANCE 2000852 #1 VS #2
Leaf	\$ 3.6721	\$ 4.1522	\$ (0.4801)
Casing	\$ 0.0460	\$ 0.0796	\$ (0.0336)
Cigarette Paper	\$ 0.1044	\$ 0.0959	\$ 0.0084
Plug Wrap	\$ 0.0372	\$ 0.0372	\$ -
Cigarette Tipping	\$ 0.1234	\$ 0.1226	\$ 0.0008
Filter Tow	\$ 0.4379	\$ 0.4379	\$ -
Plasticizer	\$ 0.0220	\$ 0.0220	\$ -
CS - Purchased Filter	N/A	N/A	N/A
	\$ -	\$ -	\$ -
Subtotal Materials	\$ 4.4429	\$ 4.9474	\$ (0.5045)
Variable Labor & Fringe	\$ 0.2331	\$ 0.2442	\$ (0.0111)
GOE (fully absorbed)	\$ 0.6442	\$ 0.6368	\$ 0.0074
Total Cigarette Cost/M	\$ 5.3202	\$ 5.8284	\$ (0.5082)

Materials:

Variable labor & Fringe:

Labor and Fringe for prototype only reflects cost through Primary and Tobacco Processing.

GOE:

GOE for prototype only reflects cost through Primary and Tobacco Processing.

NOTE: Caution should be exercised in recognizing the impact associated with Labor and OH as any estimated savings/costs will only be realized to the extent that the planned product change has a real impact on how the Company does business. (ie., Capital/labor additions/reductions.)

Advise of any questions.

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